



**ARVIND DHAM,
AMTEK AUTO**

ACQUIRED: Triplex Ketron and Zelter for \$40 million each in 2007 and this year respectively.

RATIONALE: Most acquisitions are OEM suppliers to leading auto majors.

GLOBAL REVENUES:
Rs 2,500 crore

"In seven years, we have grown from a \$150-million company to a \$1.3-billion firm."

MANDEEP SINGH

(Rs 425 crore). Clearly, Indian companies have a greater appetite for European assets.

The going has never been better for Indian entrepreneurs. With banks offering a suite of services to SMEs, they are no longer bound by geographical barriers. Buying out companies to acquire technology and brand presence, they are also cutting costs to make international operations more viable. Amtek Auto, which has been on an acquisition spree since 2002—the latest catch being German firm Zelter for \$40 million (Rs 160 crore)—has grown from a \$150-million (Rs 600 crore)

company to a \$1.3-billion (Rs 5,200 crore) global components maker. Having acquired providers of auto parts to companies like Ford and General Motors, Amtek Auto has gained market access. Says Chairman and MD Arvind Dham, "Without acquisitions, we would have remained a domestic player."

As industries mature in India, the domestic market offers low margins. Says Puneet Chaddha, head, commercial banking, HSBC India: "It's profitable for SMEs to look outward for less competitive markets." Small companies like Jain Irrigation have tested global waters by buying smaller companies with a high-value proposition. After buying Chapin Watermatics for \$6.25 million (Rs 25 crore) in 2006, it went on to buy five other companies for a total of \$57 million (Rs 228 crore), emerging as the world's second-largest drip irrigation company. Says MD Anil Jain: "We want to offer comprehensive agricultural solutions. Just as oil was an issue in the previous century, water will be the issue of the 21st century."

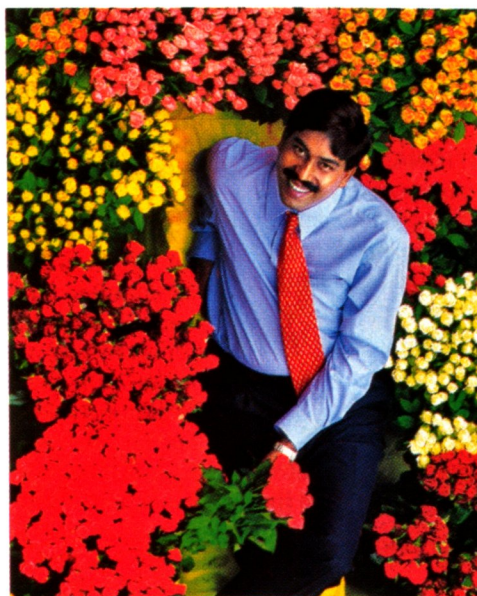
By combining a consensual management approach with aggression in the marketplace, Indian entrepreneurs have earned the respect of the unions and managements of the companies they have acquired. Pyramid Saimira, which entered the movie production and film exhibition business as late as 2005, has been acquiring companies in Malaysia, the UK, Europe and China without a hassle. Few will believe that S. Saminathan, chair-

► **RAMAKRISHNA
KARUTURI,
KARUTURI GLOBAL
ACQUIRED:**

Ethiopia's Sher Agencies for \$68 million last year.

RATIONALE: Karuturi is now the world's largest rose producer.
GLOBAL REVENUES:
Rs 300 crore

"For surviving in the industry, I had to acquire in Africa. Globalisation was not a choice for me."



DEEPAK G PAWAR